**Quillwood Credit Partners**

Origination and credit | Internal working paper

# Investment Committee Paper
# Calder Hills Lease-up Facility

A$62.0M senior secured investment (lease-up) facility, Hornsby NSW

Prepared for: Quillwood Credit Partners Investment Committee

Prepared by: Origination and Credit, Real Estate

Date: 24 February 2026

Version 1.0, for decision

Reference: QCP-RE-2024-0211-IC01

Date: 24 February 2026

*Synthetic - for demonstration. All names, entities and figures are fictional.*

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# Document details

| | |
|---|---|
| **Borrower** | Calder Hills Pty Ltd, ABN 88 473 105 274 |
| **Sponsor** | Calder Property Group |
| **Guarantor** | Calder Property Group Holdings Pty Ltd |
| **Property** | Calder Hills, Hornsby NSW 2077, 196-unit build-to-rent apartment building |
| **Deal reference** | QCP-RE-2024-0211 |
| **Facility** | Senior secured investment (lease-up) facility, A$62.0M |
| **Prepared by** | Quillwood Credit Partners, Origination and Credit |
| **Prepared for** | Investment Committee |
| **Date and version** | 24 February 2026, version 1.0 |

*Table 1. Paper details*

# 1. Executive summary

Quillwood Credit Partners (QCP) is asked to approve a senior secured investment facility of A$62.0M to Calder Hills Pty Ltd (the Borrower), a special purpose subsidiary of Calder Property Group (the Sponsor). The facility will refinance the existing construction loan on practical completion of Calder Hills, a 196-unit build-to-rent building at Hornsby in Sydney's north, and fund the lease-up period. Financial close is targeted for 31 March 2026 and the facility matures on 30 November 2026, a tenor of eight months.

The facility is a short bridge to stabilisation. The Sponsor's plan is to lease the building to 88% occupancy by September 2026 (about 173 of 196 apartments), reaching approximately 90% in October 2026, and then sell the stabilised asset to an institutional build-to-rent fund, with repayment from sale proceeds before maturity. Refinancing with a term lender is the alternative exit.

The credit case rests on four points.

- Low leverage against a new asset. The facility is fully drawn at financial close at A$62.0M against an on-completion valuation of A$211.5M, a loan to value ratio (LVR) of 29.3%, against a covenant of 55.0%. The value would need to fall by about 46.7% before the covenant is breached.
- Pricing that is adequate for the risk. Interest is 3-month BBSW plus 4.60%, paid monthly in cash. At an assumed BBSW of 3.85% the all-in rate is 8.45% and annualised interest is A$5.24M.
- Structural protection for the lease-up period. A A$1.9M interest reserve is held by QCP (about 4.4 months of interest), the security is a first-ranking mortgage and a general security deed, and Calder Property Group Holdings Pty Ltd is guarantor.
- A credible exit. Institutional demand for stabilised, new build-to-rent assets in Sydney is established, and the stabilised value comfortably exceeds the debt on any plausible outcome.

The principal weakness is time. Eight months from close to maturity leaves little room for the lease-up to slip, and the first interest cover test falls on 30 September 2026, two months before maturity. The analysis below shows that the interest cover covenant of 1.25x is met if net operating income (NOI) reaches about 76% of stabilised NOI on an annualised basis. We expect that to be achievable at plan occupancy, but it is the covenant most exposed to a slower lease-up. A sale process needs to be run in parallel with leasing, not after it. Our recommended conditions address this directly.

We recommend approval, subject to the conditions in section 2 and the conditions precedent and subsequent in section 11.

# 2. Recommendation

The Investment Committee is asked to approve:

- A senior secured investment (lease-up) facility to Calder Hills Pty Ltd with a limit of A$62.0M, fully drawn at financial close on 31 March 2026, maturing on 30 November 2026.
- Pricing of 3-month BBSW plus 4.60% per annum, with interest paid monthly in cash.
- An interest reserve of A$1.9M held by QCP.
- Financial covenants of LVR not more than 55.0% (tested on each valuation) and interest cover ratio (ICR) not less than 1.25x (tested quarterly from 30 September 2026).
- Security comprising a first-ranking mortgage over Calder Hills and a general security deed, supported by a guarantee from Calder Property Group Holdings Pty Ltd.

Approval is recommended subject to the following conditions, in addition to the standard conditions precedent set out in section 11.

- Practical completion of Calder Hills and issue of the occupation certificate before the first drawdown, with the on-completion valuation reconfirmed by Westgate Valuation Advisory at not less than A$211.5M, or, if lower, at a value that keeps LVR at or below 35.0%.
- The Sponsor to appoint a sales adviser and begin preparing a sale process by 30 June 2026, so that a sale can complete before 30 November 2026.
- Monthly leasing reports from the leasing manager, and a rolling 12-month cash flow forecast with each quarterly compliance certificate.
- A valuation update as at 30 September 2026, to coincide with the first ICR test.
- Any occupancy below 88% at 30 September 2026 to be referred back to the Investment Committee, before any discussion of changes to maturity or terms.

The Committee should note that no extension or refinancing commitment is implied by this approval. The facility is underwritten as an eight-month bridge and its repayment depends on a sale or a third-party refinance.

# 3. The transaction

## 3.1 Purpose and structure

The Borrower has built Calder Hills under a construction facility that is due for repayment on practical completion, expected in March 2026. The QCP facility will repay that construction loan in full and provide a funded interest reserve for the lease-up period. Because the building will be largely vacant at financial close, the loan is underwritten on the value of the completed asset and the Sponsor's capacity to support it, not on in-place income. That is the central feature of a lease-up facility and the reason for the reserve, the guarantee and the short tenor.

## 3.2 Key terms

| Term | Detail |
|---|---|
| Borrower | Calder Hills Pty Ltd |
| Sponsor and guarantor | Calder Property Group Holdings Pty Ltd |
| Facility | Senior secured investment (lease-up) facility |
| Limit | A$62.0M, fully drawn at financial close |
| Purpose | Refinance construction facility at practical completion; fund lease-up |
| Financial close | 31 March 2026 |
| Maturity | 30 November 2026 (eight months) |
| Interest | 3-month BBSW plus 4.60%, paid monthly in cash |
| Interest reserve | A$1.9M, held by the lender |
| Security | First-ranking mortgage over Calder Hills; general security deed |
| Exit | Sale to an institutional build-to-rent investor, or refinance on stabilisation |

*Table 2. Proposed facility terms*

Fees are as set out in the term sheet and are not a credit-determining term. The credit assessment in this paper is made on the margin alone and would not change if fees were varied.

### 3.3 Pricing

At an assumed 3-month BBSW of 3.85%, the all-in interest rate is 8.45% a year. On a fully drawn balance of A$62.0M this gives annualised interest of A$5.24M, or about A$0.44M a month. Interest is paid monthly in cash. The Borrower is expected to fund interest from asset NOI as it builds, with the interest reserve covering any shortfall during the early lease-up months.

The margin of 4.60% is appropriate for a first-mortgage loan at 29.3% LVR with a short, event-driven exit. We note that the low LVR means QCP is paid a margin more typical of higher-leverage lease-up risk than the capital at risk would otherwise suggest. The reward comes primarily from the lease-up and timing risk that the Sponsor is asking QCP to carry, not from a thin equity cushion.

## 4. Borrower and sponsor

### 4.1 Borrower

Calder Hills Pty Ltd (ABN 88 473 105 274) is a single-purpose entity that owns Calder Hills. It has no business other than the ownership, leasing and sale of the property and no material liabilities outside the construction loan, which will be repaid from the facility. The general security deed gives QCP security over all of its present and after-acquired property.

### 4.2 Sponsor

Calder Property Group is a Sydney-based developer and owner of build-to-rent assets. The group has taken Calder Hills from site acquisition through construction to practical completion and has operated under the existing construction facility without default. The guarantor is Calder Property Group Holdings Pty Ltd, the group holding company. Its support is relevant to QCP in two respects: it gives QCP recourse beyond the single asset during the lease-up, and it aligns the Sponsor's commercial interest with a timely and orderly sale.

The Sponsor's incentive is clear. A successful stabilisation and sale crystallises development profit on a A$211.5M asset and supports its next build-to-rent project. The Sponsor has also committed capital through the project, because the facility funds only A$62.0M of an asset valued above A$211M. The balance of the capital structure sits behind QCP.

### 4.3 Leasing and asset management

The Sponsor has proposed Sorrel Residential Leasing as leasing and asset manager. The appointment, the fee basis and the termination provisions are to be reviewed by QCP's counsel before close. We want the right to receive leasing reports directly from the manager, not only through the Sponsor. We also want the manager's appointment to be subordinated to the security.

### 4.4 Guarantee

The guarantee and indemnity from Calder Property Group Holdings Pty Ltd is a condition precedent to drawdown. Before close, QCP should receive the guarantor's most recent financial statements and a statement of its material contingent liabilities, and credit should be satisfied that the guarantee adds real recourse and is not simply a claim on the same asset. We have not relied on the guarantee in sizing the facility. The loan stands on the security alone.

## 5. Security

### 5.1 The property

Calder Hills is a 196-unit build-to-rent apartment building at Hornsby, NSW 2077. Hornsby is a established north Sydney centre with a rail interchange on the North Shore and Northern lines, a regional shopping centre, a hospital and a growing apartment stock. The asset is new, purpose-designed for institutional ownership and held under a single title, which suits a bulk sale to a build-to-rent fund.

### 5.2 Valuation

Westgate Valuation Advisory (Westgate) has assessed the value of Calder Hills on completion at A$211.5M. This is the value used for the LVR calculation in this paper. It is a value for the completed building and is not an in-place income valuation. Reconfirmation of the value as at practical completion is a condition precedent to drawdown, because the building will not be significantly leased when the facility is drawn.

| Metric | Value |
|---|---|
| Facility limit | A$62.0M |
| Valuation on completion | A$211.5M |
| LVR on completion | 29.3% |
| Covenant LVR | 55.0% |
| Debt per apartment | A$316,000 |
| Value per apartment | A$1.08M |
| Stabilised NOI (Sponsor base case) | A$8.61M |
| NOI yield on valuation | 4.07% |
| Stabilised debt yield (NOI / facility) | 13.9% |

*Table 3. Security and leverage metrics*

The stabilised NOI of A$8.61M on a value of A$211.5M implies a yield of 4.07%. This is in line with how institutional buyers have priced new Sydney build-to-rent product. It is a thin yield and the value is sensitive to capitalisation rates. A 50 basis point softening, to roughly 4.57%, would reduce the value implied by the Sponsor's NOI to about A$188M, which would still leave the LVR at only 33.0%.

### 5.3 Security package

- First-ranking registered mortgage over the Calder Hills land and improvements.
- General security deed from the Borrower over all present and after-acquired property, registered on the Personal Property Securities Register.
- Guarantee and indemnity from Calder Property Group Holdings Pty Ltd.

- Assignment of rents, leasing and management agreements, and insurance proceeds, with QCP's interest noted on all policies.
- Control of the Borrower's operating and collection accounts, with the interest reserve held by QCP.

### 5.4 Assessment

The security is strong for the facility size. A new, well-located asset, a single title, and a loan of about A$316,000 per apartment against a value of A$1.08M per apartment mean that QCP could realise on the asset at a considerable discount and still recover its capital. The more relevant risk is not loss of capital but delay: a slower lease-up would push a sale beyond the maturity date and would test the Sponsor's willingness to support the loan.

## 6. Market and lease-up plan

### 6.1 Market

Sydney's build-to-rent market is still maturing. Institutional capital has been allocated to the sector, but there are few stabilised, trading assets and pricing is thin. Hornsby is a recognised rental location with good transport links. Two risks are evident. First, new supply is arriving in the north-west and north of the CBD, including near Hornsby, and competing buildings will offer incentives to attract tenants. Second, a first-of-its-kind building must establish its rent and its reputation at the same time.

### 6.2 The lease-up plan

The Sponsor's plan, which we have adopted as the base case, assumes the following.

- Occupancy of 88% by September 2026 (about 173 of 196 apartments), rising to about 90% by October 2026.
- Stabilised occupancy of 93% or higher by early 2027, which is the level at which the Sponsor expects a buyer to commit.
- A two-bedroom effective rent of A$1,120 a week.
- Leasing incentives of two weeks free rent on new leases.
- A sale to an institutional build-to-rent investor after stabilisation, with settlement before 30 November 2026.

The plan is demanding. Few new Sydney buildings of this size have leased to 88% in six months, and the plan has no cushion for incentive escalation. We consider it a reasonable management case but not a conservative one. This view informs the sensitivity analysis in section 7 and the conditions in section 2.

### 6.3 Leasing manager

Leasing will be run by Sorrel Residential Leasing, which will report monthly on apartments leased, rent achieved, incentives granted and enquiry flow. QCP will use these reports to track progress against the plan and to decide early whether the exit timetable is at risk.

## 7. Financial analysis

### 7.1 Debt service and the interest reserve

Annualised interest of A$5.24M is high relative to the NOI of a half-leased building. During the early months of lease-up, NOI will not cover interest. The Sponsor's base case expects the building to reach interest cover on an annualised basis before the first test on 30 September 2026, and any shortfall until then is met from the A$1.9M interest reserve. The reserve is equal to about 4.4 months of interest at the assumed rate, or roughly 36% of one year's interest.

The reserve does not cover the full term. It provides a buffer for the early weeks, when NOI is lowest. The Sponsor will need to fund any additional shortfall, and the guarantee from Calder Property Group Holdings Pty Ltd supports that obligation. We note that the reserve is sized to a base case that assumes steady leasing. If leasing stalls, the reserve will be consumed faster than the plan assumes, and the Sponsor's support will be tested earlier.

## 7.2 Interest cover

The ICR covenant is annualised quarterly NOI divided by interest, tested quarterly from 30 September 2026, with a minimum of 1.25x. Annualised interest of A$5.24M means NOI must be at least A$6.55M for the covenant to be met. On the Sponsor's stabilised NOI of A$8.61M, that is 76.1% of stabilised income.

| NOI as % of stabilised | Annualised NOI (A$M) | ICR (x) | Covenant 1.25x |
|---|---|---|---|
| 100% | 8.61 | 1.64 | Pass |
| 90% | 7.75 | 1.48 | Pass |
| 80% | 6.89 | 1.31 | Pass |
| 76.1% | 6.55 | 1.25 | Break-even |
| 70% | 6.03 | 1.15 | Breach |

*Table 4. ICR sensitivity to NOI (interest A$5.24M, BBSW 3.85%)*

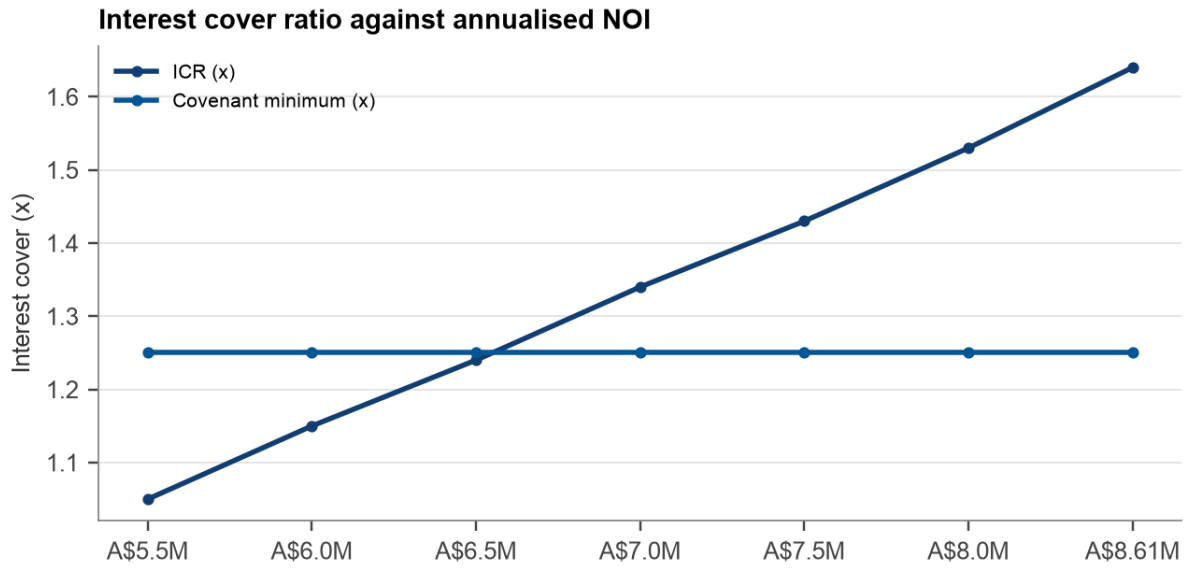



*Figure 1. ICR at annualised interest of A$5.24M against the 1.25x covenant*

The relationship between occupancy and NOI is not one to one. A residential building has fixed operating costs, including staff, utilities, insurance and rates, that do not fall as occupancy falls. NOI therefore drops faster than occupancy. As a result, NOI of 76% of the stabilised level requires an occupancy above 76%. We have asked the Sponsor for the NOI model by month and will test the occupancy level required to meet 1.25x before close. On present evidence, headroom at the first test depends on the Sponsor reaching plan occupancy by 30 September 2026. A shortfall of a few percentage points could erode it quickly.

## 7.3 Interest rate sensitivity

The facility is floating rate and unhedged in our base case. A 100 basis point rise in BBSW would lift annualised interest to about A$5.86M, with stabilised ICR falling from 1.64x to about 1.47x. The covenant would be breached at stabilised NOI of less than A$7.32M, or 85.0% of the Sponsor's base case. Given the short tenor, we do not require a hedge, but we will ask the Sponsor to confirm its intentions.

## 7.4 Loan to value sensitivity

| Value (A$M) | Change from A$211.5M | LVR |
|---|---|---|
| 211.5 | 0.0% | 29.3% |
| 190.0 | -10.2% | 32.6% |
| 170.0 | -19.6% | 36.5% |
| 150.0 | -29.1% | 41.3% |
| 130.0 | -38.5% | 47.7% |
| 112.7 | -46.7% | 55.0% |

*Table 5. LVR sensitivity to value (facility A$62.0M)*

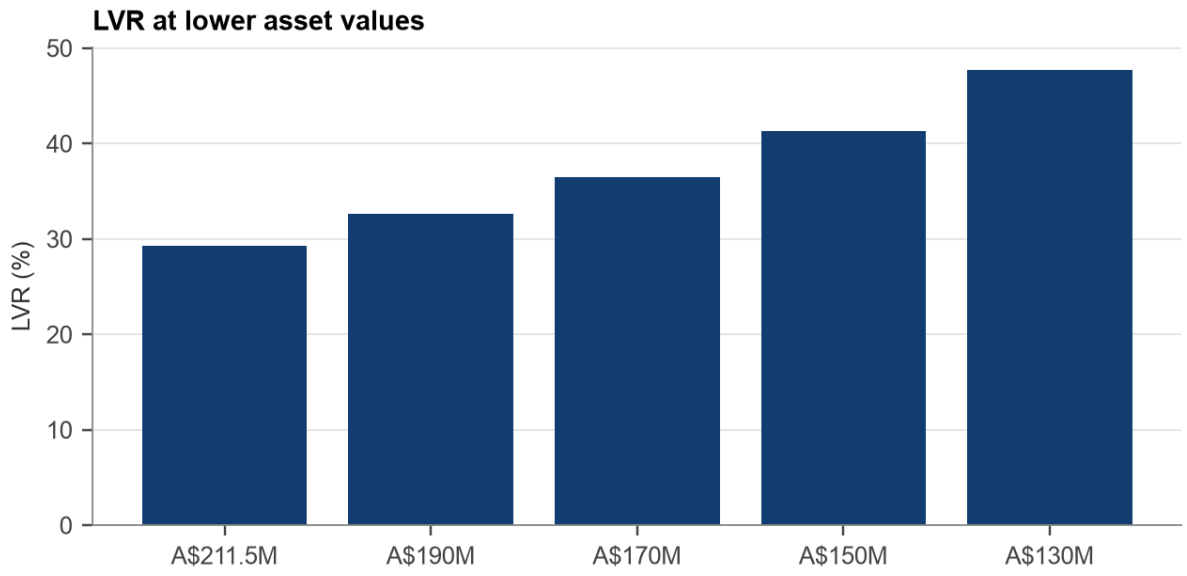



*Figure 2. LVR against the 55.0% covenant at falling values*

The value would need to fall to about A$112.7M, a decline of 46.7%, before the 55.0% covenant is breached. Value risk is therefore not the main credit concern. The LVR covenant is tested on each valuation and acts as a long-stop. The ICR covenant and the timetable are where the credit is most likely to come under pressure.

# 8. Exit and repayment

## 8.1 Primary exit: sale

Repayment is expected from the sale of the stabilised asset to an institutional build-to-rent investor. At a value near A$211.5M the net proceeds would repay the facility more than three times over, so the sale price is not the constraint. Timing is. Institutional buyers generally want evidence of stabilised occupancy and rent over a period of months, followed by due diligence and contract negotiation. Working back from 30 November 2026, a buyer would need to be engaged by about August 2026 and to be in contract by October. That is only consistent with the Sponsor's plan if leasing reaches 88% by September 2026.

No offer is in hand at the date of this paper. We therefore regard the sale as likely but not assured, and have made the early appointment of a sales adviser a condition.

## 8.2 Secondary exit: refinance

If a sale does not complete in time, the Borrower could refinance with a term lender on stabilised income. At the Sponsor's stabilised NOI of A$8.61M, a debt yield of 13.9% on A$62.0M and an LVR below 30% would be attractive to bank and non-bank lenders. A refinance would normally be assessed on in-place income, so its availability depends on the same lease-up outcome as the sale. We regard it as a genuine second route but not an independent one.

### 8.3 Downside exit

If neither exit is available at maturity, QCP would have enforcement rights over a new, vacant or part-leased, low-LVR asset. We would expect to recover the facility in full from the sale of the property, though with delay and cost. We have not modelled a distressed sale because the value cushion is large, but we note that enforcement on a 196-unit building would take months and would be commercially undesirable.

## 9. Key risks and mitigants

| Risk | Assessment | Mitigant |
|---|---|---|
| Slower lease-up | High likelihood of some slippage; the plan has little cushion | Interest reserve; guarantee; monthly reporting; early referral to IC if below 88% at September 2026 |
| Rent and incentive pressure | New competing supply may force higher incentives and lower effective rents | Plan assumes A$1,120 two-bedroom rent and two weeks free; ICR sensitivity shows 80% of stabilised NOI still passes |
| Exit timing | Eight-month tenor leaves a short window between stabilisation and maturity | Sales adviser appointed by 30 June 2026; parallel sale process; refinance as second route |
| ICR covenant breach | First test at 30 September 2026 may fall before NOI has built | Breakeven NOI is 76.1% of stabilised; Sponsor model to be tested before close; guarantee |
| Interest rate | Unhedged floating rate; +100 bp lifts interest to A$5.86M | Stabilised ICR remains 1.47x at +100 bp; hedging intention to be confirmed |
| Valuation and yield | Thin initial yield of 4.07%; sensitive to capitalisation rate | LVR 29.3% against 55.0% covenant; value could fall 46.7% before breach |
| Sponsor support | Reliance on Sponsor if lease-up stalls | Guarantee from Calder Property Group Holdings Pty Ltd; Sponsor has significant capital in the asset |
| Refinance of the term facility | Not a source of repayment independent of leasing | Sale is primary exit; early engagement with prospective buyers and term lenders |

*Table 6. Key risks and mitigants*

The overall credit risk is moderate. Capital loss risk is low because of the leverage and the asset quality. Timing and covenant risk are higher, and we expect any stress to appear first as a request to extend or amend, not as a loss. The Committee should be comfortable that approval carries no expectation of an extension and that any such request would need to be assessed on its merits at the time, including the sponsor's behaviour, valuation and revised leasing evidence.

## 10. Covenants and reporting

| Covenant | Requirement | Testing |
|---|---|---|
| Loan to value ratio | Not more than 55.0% | On each valuation |
| Interest cover ratio | Not less than 1.25x | Quarterly, from 30 September 2026 |

*Table 7. Financial covenants*

LVR is calculated as the drawn facility divided by the as-is market value from the lender's valuer. ICR is annualised quarterly NOI divided by annualised interest on the facility. The first ICR test date is 30 September 2026, by which the base case expects occupancy of 88%.

The facility contains no minimum occupancy covenant. Occupancy is monitored through monthly leasing reports, and it is reflected indirectly in the ICR test. For internal purposes only, QCP will treat occupancy below 88% at 30 September 2026 as a trigger for referral back to the Investment Committee. We have not asked the Sponsor for an occupancy covenant because the ICR test is a more direct measure of the Borrower's ability to service the loan, and a separate

occupancy test would add little protection while creating a second point of default for the same event.

### 10.1 Reporting

- Monthly leasing report from the leasing manager within ten business days of month end, showing apartments leased, effective rents, incentives and enquiries.
- Quarterly compliance certificate signed by two directors or officers, with supporting NOI and interest calculations.
- Valuation update as at 30 September 2026 and on request thereafter.
- Quarterly management accounts for the Borrower and an updated sale and refinance timetable.
- Prompt notice of any event of default, material change to the leasing manager or any approach from a prospective buyer.

## 11. Conditions precedent and subsequent

### 11.1 Conditions precedent to drawdown

- Executed facility agreement, general security deed, mortgage and guarantee, in a form satisfactory to QCP's counsel.
- Certificate of practical completion and the occupation certificate for Calder Hills.
- Westgate valuation reconfirmed as at practical completion, at not less than A$211.5M or, if lower, at a value giving an LVR of not more than 35.0%.
- Evidence that the construction facility will be repaid in full and its security released on drawdown.
- Registration of the first mortgage and the security interests under the general security deed, with satisfactory searches.
- Guarantee from Calder Property Group Holdings Pty Ltd, with its latest financial statements and a statement of material contingent liabilities.
- Funding of the A$1.9M interest reserve into an account held by QCP.
- Insurance certificates of currency for property, public liability and loss of rent, with QCP's interest noted.
- Leasing and asset management agreement with Sorrel Residential Leasing, with a tripartite acknowledgement in favour of QCP.
- Borrower's NOI and cash flow model by month, tested to QCP's satisfaction against the ICR covenant.
- Legal opinions, corporate approvals and know-your-customer documentation for the Borrower and guarantor.

### 11.2 Conditions subsequent

- Appointment of a sales adviser by 30 June 2026, with a sale and marketing timetable delivered to QCP.
- Valuation update as at 30 September 2026, delivered within 15 business days.
- First quarterly compliance certificate for the period ending 30 September 2026, delivered within 20 business days.
- Written confirmation of the Borrower's interest rate hedging intentions within 30 days of financial close.
- Monthly leasing reports delivered throughout the term.

## 12. Approvals

The analyst certifies that this paper fairly represents the information available at the date of writing. The approvers record the Investment Committee's decision below.

| Role | Name | Decision / Date |
|---|---|---|
| Analyst, Real Estate Credit | Hannah Teo | Prepared 24 February 2026 |
| Head of Origination | Marcus Delaney | Recommended |
| Chief Credit Officer | Elena Vasquez | Approve / Decline / Defer |
| Investment Committee Chair | Robert Nguyen | Approve / Decline / Defer |
| Investment Committee Member | Sophie Hartigan | Approve / Decline / Defer |

*Table 8. Analyst and approver sign-off*

Synthetic document for demonstration. All names, entities and figures are fictional.